

Mental accounting can make instruments like these appealing, but they may not benefit the investor in the long run.

3. Mental accounting bias can cause investors to allocate assets differently when employer stock is involved. Studies have shown that participants in company retirement plans that offer no company stock as an option tend to invest in a balanced way between equities and fixed-income instruments. However, when employer stock is an option, employees usually allocate a portion of contributions to company stock, with the remainder disbursed evenly over equity and fixed-income investments. Total equity allocation, then, could be too high when company stock was offered, causing these investors' portfolios to potentially be underdiversified. This can be a suboptimal condition because these investors do not fully comprehend the risk that exists in their portfolio.
4. In the same vein as anchoring bias, mental accounting bias can cause investors to succumb to the "house money" effect, wherein risk-taking behavior escalates as wealth grows. Investors exhibiting this rationale behave irrationally because they fail to treat all money as fungible. Biased financial decision making can, of course, endanger a portfolio. (In Research Review we will present some excellent research on the house money effect.)
5. Mental accounting bias can cause investors to hesitate to sell investments that once generated significant gains but, over time, have fallen in price. During the bull market of the 2000s, investors became accustomed to healthy, unrealized gains. When most investors had their net worth deflated by the market correction, they hesitated to sell their positions at the then-smaller profit margin. Many today still regret not reaping gains when they could; a number of investments to which people clung following the 1990s boom have become nearly worthless.

RESEARCH REVIEW

In their working paper entitled "An Experimental Examination of the House Money Effect in a Multi-Period Setting," Lucy F. Ackert, Narat Charupat, Bryan K. Church, and Richard Deaves cited evidence attesting to the influence exerted by prior monetary gains and losses over present-day risk-taking behavior. Their analysis confirmed that when endowed with "house money,"